EU AI Act Compliance Intelligence — LLM API Design

For your AI Guardians AI Incident Manager, I recommend adding an EU AI Act Regulatory Impact Assessment to each OECD incident dossier.

The LLM should not simply determine whether an incident violates the EU AI Act. It should assess legal applicability, potential obligations, evidence of compliance gaps, incident-reporting implications, and the operational impact on affected organizations.

The result should be a structured regulatory assessment, not an automated legal verdict.

1. What the compliance intelligence should measure

Dimension	Assessment output
EU jurisdiction	Applicable, not applicable, or undetermined
AI system classification	Prohibited practice, high-risk, transparency-regulated, GPAI-related, other, or unknown
Regulatory obligations	Applicable EU AI Act articles and requirements
Compliance gap	Evidence of noncompliance, potential gap, no demonstrated gap, or insufficient evidence
Incident reporting	Whether Article 73 or another reporting obligation warrants assessment
Organizational impact	Operational, governance, documentation, oversight, and remediation implications
Regulatory exposure	Potential enforcement relevance, without assuming a violation or penalty
Consultant guidance	Specific controls, client questions, and recommended assessment activities

Critical distinction: An OECD-reported AI incident does not automatically constitute an EU AI Act violation. The regulation's applicability depends on the AI system, the actor's role, EU nexus, relevant provisions, and dates.

Current regulatory baseline — November 2026

The EU AI Act has phased implementation dates, including amendments introduced by the Digital Omnibus in July 2026.

Provision	Application date
AI literacy and initial prohibited practices	February 2, 2025

General-purpose AI model obligations	August 2, 2025
Most transparency obligations	August 2, 2026
Additional specified prohibitions	December 2, 2026
Annex III high-risk AI requirements	December 2, 2027
Annex I product-related high-risk AI requirements	August 2, 2028

These dates must be evaluated against the particular provision, actor, and incident date. Transitional provisions and exceptions can change the outcome.

AI Act Service Desk+2

For example, Article 73 concerns serious-incident reporting for qualifying high-risk AI systems. An incident involving an AI-assisted cyberattack does not, by itself, establish an Article 73 reporting obligation.

AI Act Service Desk

2. Recommended dossier presentation

AI INCIDENT MANAGER / REGULATORY INTELLIGENCE

EU AI Act Impact Assessment

Review required
EU applicability

Undetermined

AI classification

Insufficient evidence

Compliance finding

Not established

Regulatory priority

Needs assessment

Article-level assessment

Article 2

Territorial and material scope

Assess
Article 5

Prohibited AI practices

Assess
Article 6

High-risk classification

Assess
Article 73

Serious-incident reporting

Conditional
Illustrative unassessed state, not a finding about the incident in your screenshot.
I recommend displaying three independent indicators: regulatory applicability, evidence-backed compliance findings, and remediation priority. A single percentage labeled "EU AI Act compliance" would imply precision that an incident report cannot support.

3. Production system prompt for the LLM API

This is the compact prompt I recommend for your inference call. It assumes your application supplies the current legal reference package and incident evidence.

You are an EU AI Act regulatory intelligence analyst for AI Guardians' AI Incident Manager.

TASK
Assess the potential EU AI Act implications of the supplied OECD AI incident using only the incident evidence and authoritative legal references supplied in the request.

RULES

1. Never infer a legal violation solely from an incident report.
2. Never invent facts, legal provisions, penalties, or citations.
3. Separate documented facts, reported allegations, legal interpretation, and recommendations.
4. Cite evidence IDs for incident-specific findings and legal reference IDs for regulatory

conclusions.

5 Do not treat missing compliance documentation as proof of noncompliance.

6 If jurisdiction, system classification, actor role, or evidence is insufficient, return UNDETERMINED.

7 Assess applicability as of the supplied assessment date, accounting for incident date, effective dates, transitional provisions, amendments, and exceptions.

8 Distinguish provider, deployer, importer, distributor, and GPAI-model provider obligations.

9 Distinguish legal obligations from voluntary governance recommendations.

10 Do not calculate penalties or assign a violation unless the supplied evidence and law support the conclusion.

11 Use concise, neutral, professional English without promotional language or speculation.

ASSESSMENT PROCEDURE

A. JURISDICTION
Evaluate Article 2, including EU market presence, EU establishment, use of outputs in the EU, affected persons, and relevant exclusions.

B. CLASSIFICATION
Assess Article 3 definitions, Article 5 prohibitions, Article 6 and Annex I/III high-risk criteria, Article 50 transparency, and applicable GPAI obligations. Do not infer high-risk status from incident severity.

C. ACTOR RESPONSIBILITY
Identify each relevant actor and its supported legal role. Do not assume an attacker, victim, tool developer, and model provider have identical obligations.

D. APPLICABLE OBLIGATIONS
Identify potentially relevant provisions, including Articles 9–15, 16, 26, 27, 50, 53, 55, 72, and 73 only where classification, role, timing, and scope justify assessment.

E. COMPLIANCE EVIDENCE
For each relevant provision, classify:

- DOCUMENTED_GAP
- POTENTIAL_GAP
- NO_GAP_DEMONSTRATED

- INSUFFICIENT_EVIDENCE
- NOT_APPLICABLE
- NOT_YET_APPLICABLE

Explain the evidence and limitations. Do not equate NO_GAP_DEMONSTRATED with proven compliance.

F. INCIDENT REPORTING
Assess whether the incident may meet the applicable serious-incident definition, whether Article 73 applies to the relevant actor and system, and whether reporting requirements are currently operative. Do not invent notification deadlines.

G. IMPACT
Evaluate supported implications for governance, technical controls, documentation, monitoring, oversight, reporting, and remediation. Do not fabricate monetary exposure.

H. DECISION SUPPORT
Provide up to five prioritized actions for enterprise AI decision-makers and transformation consultants. Each action must identify an owner role, evidence needed, and verifiable completion criterion.

OUTPUT
Return only schema-valid JSON. Use null for unknown scalar values and empty arrays where no supported items exist. Never generate placeholder findings.

FINAL CHECK
Verify legal citations, effective dates, actor roles, factual support, classification logic, and reporting applicability. Flag every unresolved material question for human review.

4. JSON response contract

```
{
  "incident_id": "INC-2026-04785D",
  "assessment_date": "2026-11-02",
  "legal_reference_version": null,
  "eu_scope": {
    "status": "UNDETERMINED",
    "reason": "Insufficient jurisdictional evidence",
    "evidence_ids": []
  },
  "ai_classification": {
    "category": "UNDETERMINED",
    "actor_roles": [],
```

```
    "evidence_ids": []
  },
  "overall": {
    "compliance_finding": "INSUFFICIENT_EVIDENCE",
    "regulatory_priority": "REVIEW_REQUIRED",
    "human_review_required": true
  },
  "articles": [
    {
      "article": "2",
      "legal_reference_ids": [],
      "applicability": "UNDETERMINED",
      "compliance_status": "INSUFFICIENT_EVIDENCE",
      "effective_date": null,
      "actor": null,
      "finding": "EU nexus not established",
      "evidence_ids": [],
      "missing_evidence": [
        "Relevant EU market or deployment facts"
      ]
    }
  ],
  "incident_reporting": {
    "article_73_applicable": "UNDETERMINED",
    "serious_incident_status": "UNDETERMINED",
    "notification_deadline": null,
    "evidence_ids": []
  },
  "impact": {
    "governance": [],
    "technical_controls": [],
    "documentation": [],
    "operational": [],
    "regulatory_exposure": []
  },
  "recommended_actions": [],
  "unresolved_questions": [],
  "review_reasons": []
}
```


The JSON above illustrates an appropriate conservative starting state for the incident shown

previously; it is not a completed legal assessment.

5. Efficient API implementation

For a cost-efficient production pipeline, avoid sending the entire EU AI Act to the model for every incident.

OECD incident + verified evidence package

Deterministic applicability pre-screen

Date, jurisdiction, actor, system type

Retrieve relevant EU AI Act provisions

Versioned legal reference store

LLM structured regulatory inference

Deterministic validation + human review

Use these implementation settings:

Setting	Recommendation
Temperature	0 or lowest supported
Response	Strict JSON Schema
Legal references	Versioned, retrieved authoritative text
Evidence	Existing incident evidence IDs
Inference	One compact call per incident initially
Caching	Cache unchanged incident and legal-reference versions
Retry	Only for transient errors or failed schema validation
Review	Required for potential violations and material legal uncertainty

Low temperature reduces variation but does not eliminate hallucinations. A second independent verification pass is more useful for high-impact findings than repeatedly asking the same model to reconsider its answer.

Measuring regulatory impact across incidents

For the dashboard, I would track:

- Applicability coverage: percentage of dossiers with a supported EU scope determination.
- Obligation assessment coverage: applicable obligations evaluated against available evidence.
- Documented compliance gaps: count of evidence-backed gaps by article.
- Reporting review queue: incidents potentially requiring notification assessment.
- Remediation burden: estimated actions, owners, effort, and deadlines where justified.
- Evidence completeness: percentage of required evidence items obtained.

These are operational intelligence measures, not regulatory compliance certifications.

6. Authoritative legal sources

Use these as the foundation for your versioned legal reference store:

- European Commission — AI Act Explorer
- Regulation (EU) 2024/1689
- Regulation (EU) 2026/1744 — Digital Omnibus
- EU AI Act implementation timeline

The official consolidated legal text incorporates the 2026 amendments, and the Commission's AI

Act Explorer provides article-level navigation.

AI Act Service Desk+1

My implementation recommendation for AI Incident Manager: Add an `EU_AI_ACT_ASSESSMENT` enrichment stage after claims, provenance, AI involvement, and causal analysis. Store its output separately from the original OECD incident, with legal-text version, evidence references, model version, and review status.

This gives AI Guardians a defensible, auditable regulatory intelligence feature for enterprise decision-makers and AI transformation consultants without representing LLM inference as a definitive legal compliance judgment.